

Another key factor of Bitcoin adoption in the long run is the presumed eventual stabilization of its value. As long as most Bitcoin users retain the speculative trading aspect of the currency, Bitcoin will not be able to find any meaningful usage in the broader economy. The constant fluctuation in prices will distance it from business users who rely on a stable currency in order to conduct their operations since it's not reasonable for a business to constantly change the price of its goods and services based on the moment to moment exchange rate of Bitcoin to fiat currency.

The possible solution to this dilemma is if many participants in a business set up - from employees to customers, vendors to utility companies, begin accepting Bitcoin as payment. In such a scenario the normalised usage and flow of the currency in the economy would automatically stabilize the value of the Bitcoin. Instead of a constantly fluctuating price tag on goods online, we would find that Bitcoin has become the standard currency that doesn't change based on its exchange rate. This is a feasible reality in select first world countries whose financial systems aren't as strictly regulated but for the majority of the world this outcome doesn't seem likely.

In countries such as India, the adoption of Bitcoins may prove to be highly focussed in urban, educated and computer literate areas. Since the use of digital wallets, mobile money and password encryption has barely become mainstream in this part of the world Bitcoin could find adoption in a purely online scale where it becomes a relative substitute to PayPal or credit card payments.

However this shift can only occur if the trust index on online identities is maintained as it is on e-commerce websites like eBay, where even anonymous looking members have a public track record of their activities. A similar trust indicator would ensure that when a buyer makes online payment using Bitcoin in advance of receiving a product, they do so to a trustworthy seller who will not default on the deal. This trust index would be a critical aspect of the modern virtual currency, since payments that can not be reversed will not be risked to first timers and only to reputed merchants.

International financial regulation

Bitcoin can be halted in its tracks in most parts of the world where regulation requirements are high. Major countries that participate today such as China, Japan and Europe are very careful of their internal economies and exert strict control over their internet infrastructure as well as traditional financial institutions. If they decide that Bitcoin is detrimental to